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Practice Paper B: Reading into Writing – Nudge

Should governments use nudge?

Extract One:

Adapted from: Sleek, S. (2013). Small nudge, big impact. APS Observer, 26.

Habit, convenience, and temptation often hamper the most conscientious goals. But behavioural science is demonstrating how those same traits can be turned around for the common good.

Hitting the Default Button

Researchers have learned that options and services too often falter because they're designed to depend on people taking some kind of action. Studies show that relying on *inaction* yields better results. Organ donation is one of the most-cited examples. In the United States, 85 percent of Americans say they approve of organ donation, but only 28 percent give their consent to be donors by signing a donor card. The difference means that many Americans die awaiting transplants. By contrast, in many European countries, individuals are automatically organ donors unless they opt not to be — in other words, organ donation is the default choice. In most of these countries, fewer than 1 percent of citizens opt out.

Another example centres around employer-provided retirement plans. The problem with those savings benefits, is that people are beset with present bias, which leads them to avoid thinking about their future. As a consequence, only about half of US employees save sufficient sums for retirement. But one study showed that when newly hired workers have to act to "opt out" rather than "opt in" to those savings plans, participation jumped to 85 percent in a year. These findings sparked the Obama administration to call for employers to enrol workers automatically in retirement plans.

What Are the Neighbours Doing?

Behavioural scientists have found that one of the most effective tools for spurring behaviour change is consensus messaging, which taps into people's tendency to follow social norms and rules. For example, one study compared the effectiveness of different types of messages in getting hotel guests to reuse their towels rather than send them to the laundry. Messages framed in terms of social norms — "the majority of guests in this room reuse their towels" — were more effective than messages simply emphasizing the environmental benefits of reuse.

Another study applied this persuasion approach to home energy use. The researchers placed signs on homeowner's doorknobs with messages about energy conservation. Some signs urged the homeowner to save energy to protect the environment; some pointed to the cost savings that would result; and some stated that most of the homeowner's neighbours were taking steps to save energy every day. At the end of the month, the researchers found the only sign that made a difference was the one that cited neighbours' behaviour. This study served as the inspiration for a Virginia-based software company, Opower, which has partnered with more than 75 utilities to incorporate neighbour comparisons into gas and electric bills. According to its website, in 2012, Opower helped consumers save more than $75 million and cut carbon dioxide emissions by 1 billion pounds.

To Your Health

A concern for government leaders is how people take care of their health. *Influence at Work*, a training and consultancy company, worked with the United Kingdom's National Health Service (NHS) in a set of studies aimed at reducing the number of patients who fail to show up for medical appointments. They did this by simply making patients more involved in the appointment-making process, such as asking the patient to write down the details of the appointment themselves rather than simply receiving an appointment card. This reduced the number of wasted appointments by 18 percent. And when the practices participating in the study advertised the number of people who attend their appointments on time, no-shows fell by more than 30 percent.

Behavioural scientists and economists are also identifying the best ways to combat rising levels of overweight and obesity brought on by the rampant availability of cheap, unhealthy, processed foods. Studies have shown that laws requiring calorie postings in restaurant chains are yielding no observable reduction in people's calorie consumption. But another study tested an alternative approach: having servers ask customers if they want to downsize portions. This study found that 14 percent to 33 percent of customers accepted the downsizing offer, whether or not they received a discount for the smaller portion, and on average were served 200 fewer calories.

The application of the nudge theory is not without its critics. Many deride it as manipulative and paternalistic. And, the long-term effect of nudge policy changes remains unknown. However, nudge-induced behaviour changes, such as workers being automatically enrolled in retirement plans, are designed to endure. In other words, doing what's good for us, and for society, eventually becomes the habit.

Extract Two

Adapted from: Goodwin, T. (2012). Why We Should Reject 'Nudge'. Politics,

32(2), 85-92. https://doi.org/10.1111/j.1467-9256.2012.01430.x

The term ‘nudge’ was first used in Richard Thaler and Cass Sunstein's book of the same title to describe ‘any aspect of the choice architecture that alters people's behaviour in a predictable way without forbidding any options or significantly changing their economic incentives’ (Thaler and Sunstein, 2008, p. 6). While nudging is not a new theory – it builds upon psychology and sociology dating back over a century to explain how environments shape and constrain behaviours – it nevertheless has two novel elements. First, it draws on insights from behavioural economics (Becker, 1962; Mead, 1997) and social psychology (Ross, 1977) to explain why people behave in ways that deviate from rationality (as defined by classic economics). And second, it is underpinned by what its authors refer to as ‘libertarian paternalism’, a philosophy that seeks to guide people's choices in their best interests while permitting them to remain at liberty to behave otherwise.

Although nudge may appeal to governments and policymakers, should we be worried about the paternalistic aspect of nudging: is nudge in fact a subtle form of manipulation, of coercion even? In addition, to what extent is nudge fit for purpose with respect to tackling society's ‘big problems’: can it be used to improve public health or deal with the problem of climate change, for example?

My contention is that nudge and the notion of libertarian paternalism are deeply troubling. Although the claim is that nudge preserves freedom, Thaler and Sunstein (2008) may be overselling the extent to which their paradigm is genuinely libertarian. The inference is that nudge works best when people are unaware that their behaviour is being influenced. Thus, by exploiting the imperfections in human judgement and decision-making, the choice architect is aiming to substitute his or her judgement of what should be done for the ‘nudgee's’ own judgement. This threatens an individual's control over his or her ability to choose. Therefore, although it would be difficult to construct an argument as to why nudge is coercive, the extent to which nudge attempts to undermine an individual's control over his or her deliberation gives cause for concern and does, I believe, warrant further investigation.

I also believe that nudging is unable to deliver the kind of substantive changes that are needed to tackle the big problems that society faces. As Theresa Marteau et al. (2011, p. 342) contend, without regulation to control existing environments that are shaped largely by commerce, nudging people towards healthier behaviour may struggle to make much of an impression on the scale needed to improve the population's health. The problem, it seems, is that nudging people in one direction leaves them vulnerable to being nudged back again. If we consider that for every pound spent on public health marketing there will be many more spent on getting the public to eat Walkers crisps, for example, the economics of nudge starts to look flawed.

Furthermore, some claim that small nudges to improve energy efficiency or increase the rate of recycling will not be enough on their own to tackle issues such as climate change, which will require the 'large-scale recognition on the part of citizens that more major shifts in lifestyle are probably necessary' (John, Smith and Stoker, 2009, p. 368). And herein lies yet another problem with nudge, so I argue. Essentially it places too much emphasis on individual preferences and upon atomistic ways of thinking. It fails to take advantage of what Hannah Arendt (1970, p. 44) refers to as the 'human ability not just to act, but to act in concert'. If we really want to solve the big problems faced by society, we need to think and deliberate together rather than in isolation.

So, what then is the solution from a policy perspective? I would argue that notwithstanding the cost implications, more, not less, government intervention is required, not only to make nudging fairer, but also to combat the power of rampant commercialism and unregulated markets which potentially undermine attempts to nudge us in the 'right' direction, so to speak. However, ideally, rather than relying on manipulative nudge tactics, the government ought to embrace more deliberative models of democratic and public engagement, which arguably encourage people to think more collectively and engage with issues more deeply, thereby providing the opportunity for more substantive citizen empowerment (see, for example, Elster, 1986; Knight and Johnson, 1999; Miller, 1992).

Extract 3:

Adapted from: Hertwig, R., & Grüne-Yanoff, T. (2019). Nudging and boosting financial decisions. Bancaria: Journal of Italian Banking Association, 73(3), 2-19.

Numerous governments and international organizations such as the World Bank (2015) and the European Commission (Lourenco, Ciriolo, Almeida, & Troussard, 2016) have begun to acknowledge the enormous potential of behavioural science evidence in helping to design more effective and efficient public policies. For instance, behavioural science is now used, or seriously considered, as a policy tool in many of the 35 member countries of the Organisation for Economic Co-operation and Development (OECD), whose mission it is to "promote policies that will improve the economic and social well-being of people around the world" (n.d.).

Without doubt, drawing attention to the importance of behavioural science for policy making is the outstanding achievement of the nudge approach, presented most prominently in Thaler and Sunstein (2008). "Nudges" are nonregulatory and nonmonetary interventions that steer people in a particular direction while preserving their freedom of choice (e.g., Alemanno & Sibony, 2015; Halpern, 2015). Paradigmatic examples include automatic (default) enrolment in organ-donation schemes and pension plans unless individuals specifically choose to opt out (rather than having to actively opt in if they want to enrol), the redesign of cafeterias such that healthier food is displayed at eye level, and use of social norms (e.g., that many taxpayers pay on time; see Cialdini & Goldstein, 2004) to increase tax compliance.

Yet it would be a mistake to equate all public policymaking informed by behavioural science evidence with nudging, or to assume that all such evidence ultimately points to nudge interventions. The scientific study of human behaviour also provides support for a decidedly distinct kind of intervention, namely, boosts (Grüne-Yanoff & Hertwig, 2016). The objective of boosts is to improve people's competence to make their own choices. The focus of boosting is on interventions that make it easier for people to exercise their own agency by fostering existing competences or instilling new ones.
Examples include the ability to understand statistical health information, the ability to make financial decisions on the basis of simple accounting rules, and the strategic use of automatic processes.

The vision behind boosting is to equip individuals with competences that are applicable across a wide range of circumstances. The notion of educative nudges in Sunstein (2016) does not embrace this more encompassing goal of empowering people. Nor is such empowerment part of Thaler and Sunstein's (2008) vision of nudging. In fact, the notion of enhancing competences plays, if at all, a marginal role in their book – words such as "competence", "knowledge", "skills" and "empowerment" do not even feature as entries in the index.

Nudges and boosts have different implications with respect to normative dimensions of policy interventions like transparency and autonomy. Hard paternalistic interventions such as laws (e.g., mandatory seatbelt use), bans (e.g., on smoking in public places), and financial disincentives (e.g., taxes on cigarettes) are visible and transparent (Glaeser, 2006). Citizens can scrutinize them and hold governments accountable. Some have argued that nudges are less transparent. Indeed, some nudges may operate behind the chooser's back and therefore appear manipulative (e.g., Conly, 2012; Wilkinson 2013). Default rules

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can be criticized on these grounds – they take advantage of people's assumed inertia and skirt conscious deliberation. Furthermore, even if default rules are completely transparent, a person's ability to discern an intervention is distinct from their ability to discern how it changes their behaviour. To the extent that people are unable to fathom the underlying mechanism that brings about the change in behaviour, this reduces transparency.

Boosts, in comparison, require the individual's active cooperation. They therefore need to be explicit, visible, and transparent. The need for cooperation also implies individual judgment and engagement. This, in turn, implies – according to dominant notions of autonomy (Buss, 2014) – that boosts are more respectful of autonomy than nudges are. This holds in particular for those nudges that seek to bypass people's "capacity for reflection and deliberation" (Sunstein, 2016, p. 64). Individuals choose to engage or not to engage with a boost. The policymaker is therefore entitled to assume that a chosen boost reflects the individual's genuine motivation. A successful nudge does not necessarily reflect such genuine motivations. Therefore, the distinction between boosts and nudges implies that boosts are more likely to respect such considerations.

We do not suggest that boosts are necessarily more effective than nudges. This is ultimately an empirical question. However, we do want to highlight that behavioural science evidence also provides support for a distinct kind of nonfiscal, noncoercive intervention: boosts.